

regulator look at this unregulated space?

A: Appropriate action is being taken against anything that is offered in the name of insurance without necessary authorisation, as per the provisions of the law. Having said that, it is worthwhile to mention that innovation in every aspect is encouraged. The regulatory sandbox has been revamped to receive applications 24x7, 365 days a year. A monthly open house is being conducted at Irdai especially for insurtechs. A dedicated insurtech mission-mode team has been formed to make the sector tech-equipped. Entities that want to enter the sector must take advantage of these platforms to mainstream the innovations and register themselves as regulated entities, to make the sector more thriving and customer-centric.

Q: What's the key challenge before Indian insurance firms today?

A: Irdai, along with the industry, has collectively undertaken the mission to insure every Indian, and provide insurance solutions to every business in the next 25 years, that is, by 2047. Currently, our insurance penetration hovers around 4.2 per cent as compared to the world average of 7 per cent. We have around 70 insurers for a country of 1.4 billion [people]. This untapped market is both an opportunity as well as a challenge for Indian insurance firms. The present number of insurance companies may not be sufficient to cover the market potential. Also, the product offering must innovate to enhance value for policyholders. To reach every nook and corner, technology can play a huge catalyst. **More investments in technological systems as well as human capital is a must. Technologies like AI and ML and big data analytics are changing the face of insurance worldwide. There is a need to exploit all technological options available to create a seamless experience for policyholders.** All of this would require growth capital.

As mentioned earlier, FDI limits have been increased to 74 per cent enabling further access to capital. The changing climate scenario also poses a risk and thus the insurance industry must equip itself to address this. The Indian insurance sector is the tenth-largest in the world and is at an inflection point. Per a report by [global reinsurance giant] Swiss Re, it is poised to become the sixth-largest by 2032. Considering the large and unique market that India offers, a significant opportunity exists to close the existing protection gaps. This is further facilitated by a robust economy, an expanding middle class, a young population, growing disposable incomes, and widespread usage of technology. This is the time when we need to increase our pace and firm up our resolve to take insurance to each and every citizen and business of India.



“The insights generated by Bima Sugam may lead to more prudent underwriting, information sharing, prevention of mis-selling and fraud. It is an attempt to universalise and democratise insurance”

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Q: What are the major challenges you see in the health insurance business?

A: In the current landscape, the health insurance business is facing both challenges and opportunities. The aftermath of the pandemic has led to a surge in demand for health insurance, necessitating insurers to adapt to evolving customer needs. To overcome these challenges, insurers are focussing on adopting technology. Creating efficient health exchanges can offer transparency and choice to consumers, simplifying the overall process. Insurers are also working on building strong networks of healthcare providers to increase cashless treatment facilities. Collaboration and industry initiatives aim to make the claim experience seamless and frictionless. By streamlining claims processes and leveraging technology such as automation, AI, and data analytics, insurers can improve operational efficiency, customer engagement, and gain valuable insights from data. Embracing technological advancements allows insurers to navigate the evolving landscape, meet customer expectations, and provide enhanced services in a growing market. **BT**

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